Fooled by Randomness -- Fill-in-the-Blank QUIZ

25 Questions -- Grouped by Chapter -- Nassim Nicholas Taleb

Prologue & Overview

1. Taleb's book argues that human beings systematically _____ _____ the role of luck in producing successful outcomes.

2. The population of traders wiped out before we could observe them is called the '_____ _____ _____ of silent evidence.'

Ch. 1 -- Alternative Histories

3. Taleb's concept of _____ _____ refers to the full set of plausible outcomes that could have unfolded, not just the one that did.

4. Checking a portfolio every 15 minutes rather than monthly dramatically increases exposure to _____ _____, not real market information.

Ch. 2 -- A Bizarre Accounting Method

5. Taleb uses _____ _____ as his central metaphor to show that surviving a dangerous gamble does not make the gamble wise.

6. Because we study only survivors, we overestimate the average _____ _____ of traders and fund managers.

Ch. 3 -- Mathematical Meditation

7. Constructing a strategy by searching historical data until a profitable pattern appears is called _____ _____, and it almost always overfits.

8. Nero uses _____ _____ _____ to stress-test portfolios against thousands of possible market histories.

Ch. 4 -- The Scientific Intellectual

9. Karl Popper's criterion requires that a scientific theory must be capable of being _____ _____ by at least one conceivable observation.

10. The Latin fallacy 'post hoc ergo propter hoc' is the error of concluding that _____ _____ implies causation.

Ch. 5 -- Survival of the Least Fit

11. Given 10,000 coin-flipping managers, after five years roughly _____ _____ will have produced an unbroken winning streak by pure chance.

12. Taleb's monkey-typewriter metaphor demonstrates that _____ _____ alone, operating over enough trials, can produce any pattern.

Ch. 6 -- Skewness and Asymmetry

13. Collecting many small premiums while remaining exposed to a rare catastrophic loss is likened to picking up _____ _____ _____ in front of a steamroller.

14. When the median outcome is positive but catastrophic losses exist, the _____ _____ of the distribution can still be negative.

Ch. 7 -- Problem of Induction

15. The discovery of _____ _____ in Australia in 1697 falsified the longstanding European assumption that all swans share the same colour.

16. Taleb's 'turkey problem' illustrates that a long run of confirming observations can be shattered by a single _____ _____ on day 1,000.

Ch. 8 -- Monkeys on Typewriters

17. A strategy optimised to fit historical data perfectly will almost certainly _____ _____ when applied to out-of-sample data.

18. Taleb argues that even a _____ track record cannot statistically distinguish genuine skill from lucky noise in financial markets.

Ch. 9 -- Nonlinear Things

19. Odysseus pre-committed to a rule by having himself _____ _____ _____ to avoid acting on the Sirens' irresistible impulse.

20. Taleb's version of the Odysseus strategy is to set _____ _____ _____ before the market opens, removing in-the-moment discretion.

Ch. 10 -- Loser Takes All

21. The Matthew effect describes how tiny early advantages compound through _____ dynamics until one player captures nearly all rewards.

Ch. 11 -- Probability Blind

22. Kahneman and Tversky's _____ theory shows that people weight losses approximately twice as heavily as equivalent gains.

23. The heuristic by which people judge probability through the ease with which a vivid example comes to mind is the _____ heuristic.

Ch. 12 -- Gamblers' Ticks

24. Skinner's pigeons developed _____ _____ because random food delivery caused them to associate accidental behaviours with reward.

Epilogue

25. Taleb argues that the only honest structural response to radical uncertainty is to build _____ _____ _____ into strategies and portfolios.